MASTER OF BUSINESS ADMINISTRATION

SEMESTER 1



DMBA114

BUSINESS COMMUNICATION

Unit – 4

Internal and External Business Communication

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1. INTRODUCTION

Some important points or issues discussed in the meeting have to be conveyed to others in the organisation who were not a part of the meeting. Such formal communication can happen with the help of memos, circulars, and notices.

In this unit, we will discuss some of the written communication media, including memos, circulars, and notices. We shall define the specific purpose of each of these media and offer guidelines for writing them, along with the appropriate formats to be used.

We will also focus on communication with external stakeholders through the written channel of business letters. Memos, circulars, and notices can be sent to employees within the organisation using electronic mail or e-mail. The unit will also cover the significance of e-mail in business communication.

Your project manager Mr. Russell Peter wants you to inform the staff members to attend an orientation session to be held in the conference room on Tuesday, at 11 a.m. To convey your message, you just have to write a small note and circulate it to the members formally. As communication happens within the organization and you are requesting the members to attend a meeting you need not use formal language. At the same time, the information is not sensitive or confidential. So, you need not worry about the security aspect while communicating the message. As you are circulating the information on behalf of your project manager you need not have a salutation and complimentary closing. How are you going to communicate the information to all the members in a formal way keeping all these points in mind? Are you going to use a memo, notice or circular to communicate and why do you choose it? You can find answers to these questions only if you know what a memo, notice and circular are.

This unit helps you to answer the following questions:

1. What is a memo, notice and circular?
2. How are they used in business communication?
3. What are the different types of business letters?
4. What is the correct format for writing business letters?
5. Some general guidelines for writing business letters, the appropriate formats and the different types of business letters in detail.
6. What is the etiquette one has to follow while writing an e-mail?

1.1. Objectives

After studying this unit, you should be able to:



- Define the structure of a memo
- Explain the purpose of circulars and notices
- Design memos, circulars, and notices
- Examine the principles of writing business letters
- List different types of business letters
- Discuss the principles of e-mail communication
- Elaborate on the etiquette for e-mail communication

2. MEMO

In an organisation a large amount of information is communicated via the written medium. Written communications include memos, notices, circulars, organisation periodicals, etc. communicated via e-mails, bulletin boards, etc.

Written communication is preferred over other forms of communication as it provides a tangible and verifiable record of the information that was exchanged. The record can be stored for an indefinite period and hence, in-case of any concern about the communicated message, it is physically available for verification. This is very useful for communication that involves complex and lengthy information. For example, the company's marketing plan for a new product contains a number of tasks spread out over several months and a number of stakeholders are associated with it. Writing it down helps to communicate the plan effectively to all and it will be readily available for reference over the entire life span of the product.

Written communication can be used for both informal to formal communication. As it can be easily duplicated, many individuals in the organisation can receive the message simultaneously making it highly flexible. The errors made in written communication can be easily identified. Hence, individuals who prepare should take extra care. Thus, written communications are likely to be well thought out, logical, and clear.

Memos are one of the most important forms of written communication in an organization. Memos can be used for formal and informal communication. The word 'memo' is a short form for 'memorandum', which is derived from the Latin word 'memorandus' which means "a thing which must be remembered". It is also referred to as an "inter-office memorandum" since it is used primarily as a tool for communicating within the organization. The memo is essentially a condensed or brief report that can be used to convey information and decisions or to make short requests to co-workers, superiors, and subordinates. It is relatively informal in style, compared to letters and long reports, and is unpretentious and concise.

It is important for the business executive to know how to write condensed reports or memos. Often, business executives may also be asked to condense business articles for their superiors. This is essentially the same as 'précis writing', where an article is condensed to one fourth its size, without losing the essence or meaning. The condensed article could then be put in memo format and sent to the superior.

Given its importance, we shall briefly discuss how to write a 'précis'.

2.1. Principles of précis writing

As mentioned, précis writing is regularly done by assistants of top executives, to help them in keeping up with their business reading. There are three main principles of précis writing, which may be referred to as the three C's of précis writing. They are:

- Condensation – This means that the précis must be a brief, shortened version of the original article. In general, the précis must be one-fourth the length of the original article.
- Comprehension – While it is important to reduce the article to one-fourth its size, the article must not lose its meaning in the process. It must be as easy to understand the condensed article as it is to understand the original article.
- Coverage – In the process of condensing the article, all the main points or ideas in the original article must be retained and adequately covered, so that the shortened article comes across as complete.

Précis writing requires a lot of skill and is not just about chopping sentences and words to reduce the length alone. All three "C's" are equally important for a précis writing to be meaningful and readable. A perfectly condensed article is of no value if it cannot be understood. Similarly, an article that is perfectly understood, but which omits some key ideas is not of much use, as it does not reflect the original.

A writer needs to look for the following, in order to fulfill the three 'Cs' of précis writing:

- Main theme – This tells what the article is about. This is usually indicated in the caption itself for example, "The Future of the Indian Auto Industry." If not, it is important to read the article fully and grasp the main theme.
- Components – These are the main ideas or the ideas used to support the main theme. For example, the fact that "the growth of light commercial vehicles is a trend which is likely to continue in the future," may be considered as one of the components or main ideas, as it will have a bearing on the future of the auto industry.
- Elements – These are the keywords that are used to express the main ideas. For example, the number of light commercial vehicles has 'increased fourfold' in 'urban' and 'suburban areas this year, compared to last year'. The words in single quotes are the keywords.

Once a précis has been written, it may be written in a memo format. Figure 1 Depicts a sample précis in a memo format.

TO : The VP Marketing

FROM : Marketing Executive

DATE : March 10th, 2008

Ref : 563/45

SUBJECT : Changing Face of Customer Relationship Management (CMR)

As discussed during our last meeting, I have summarised a recent article on the current status of CRM, for your review.

CRM – Mega-trend, Trend or Fad?

In 2000, CRM was the buzzword in marketing circles. It was predicted to be a revolutionary technology that would have a lasting impact on business in the long run.

However, as CRM software vendors' revenue growth slowed down, the forecasts became less optimistic. This gave rise to doubts as to whether CRM was just a passing phenomenon.

Changing User Patterns

In 2002, CRM seemed to gather momentum again, as companies reported significant improvements as a direct result of using the technique. However, CRM users no longer adopted it without questioning and without specific goals. The company's senior management had to be convinced about the long-term benefits. CRM was implemented only after an in-depth cost-benefit analysis.

Shifting Vendors' Focus

From the CRM vendors' viewpoint, there was a shift in emphasis from the technological aspects to the functional aspects when approaching users. This meant that CRM developers were more concerned with identifying the specific problems of top managers in different functional areas and with offering customised solutions. CRM solutions were also tailor-made for different industries. Besides, the tools were also specialised to suit specific processes.

What Does the Future Hold?

CRM is expected to pick up further in the years to come. It will continue to evolve, both from a user's and a vendor's viewpoint. While users will become more discerning in their approach, only those vendors who can cater to a cross-section of requirements will dominate. Ultimately, it will be the survival of the fittest.

cc. Mr. M. Gupta, Executive Manager – Sales.

Fig. 1: Précis in a Memo Format

In the précis shown in figure 1, the main theme is contained in the subject line "Changing Face of Customer Relationship Management (CRM)." The components or the main ideas are expressed by the different paragraphs, each with a subhead. Some of the keywords that are used to express these ideas are "revolutionary technology", "long-term benefits", "in-depth cost-benefit analysis", "functional aspects", "customised solutions" and "survival of the fittest."

Activity - 1

Select an article from any business publication and prepare a précis of the article by reducing it to one fourth its size.

(Refer sub-section 2.1 for detailed guidelines.)

SELF-ASSESSMENT QUESTIONS – 1

Fill in the blanks:	
1	Written communication is preferred over other forms of communication as it provides a _____ and _____ record of the information that was exchanged.
2	_____means that the précis must be a brief, shortened version of the original article.
Choose the correct Answer:	
3	Which among the following indicates what an article is about? (Pick the right option) a) Main theme b) Components c) Elements d) Subject

2.2. Components and format of a memo

As shown in figure 1, a memo is a brief, one-page, or maximum two-page report. Figure 2 depicts a memo in full-block format.

NAME OF THE COMPANY

INTEROOFFICE MEMORANDUM

Date: _____
Ref: _____
To: _____
From: _____
Subject: _____

_____
_____
_____

NAME

SIGNATURE

cc.

Fig. 2: Full Block Format of Memo

Many companies have their own printed format in which the message is written and sent. The format is similar to a letter as shown in figure 2.

Let us now study the components that form the structure or format of a memo. Figure 3 depicts the components that form the structure of a memo.

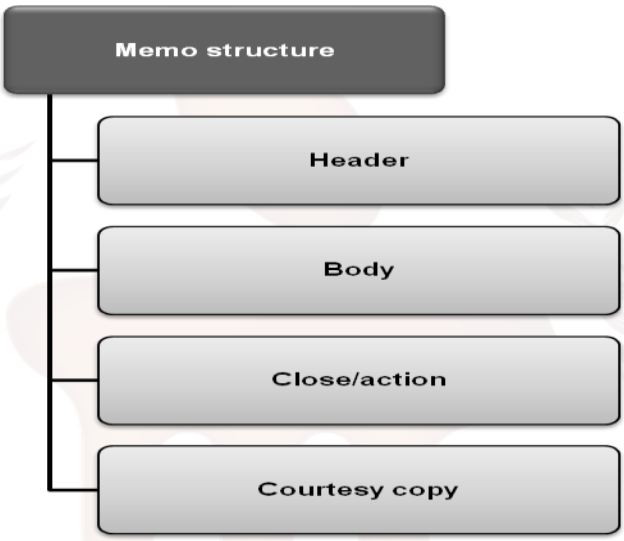


Fig. 3: Structure of a Memo

1. **Header** – This is a compact block of information that appears at the top of the memo that includes the 'To', 'From', 'Date', and 'Subject' headings, which is similar to the title page of a longer and more formal report.

   The "To" heading must mention the name of the receiver or the primary target audience for example, in the memo shown in figure 1 the 'to' is the Marketing Vice President (VP). The 'From' heading must include the name of the sender or writer of the memo (Marketing Executive). The 'Subject' line must include the specific purpose of the memo (the title of the précis memo is shown in figure 1). This helps the writer in the development of the message and lets the reader know what the memo is all about. The date is the day when the memo is drafted or circulated.
2. **Body** – This is the text of the memo which contains the details and major topics. Unlike letters, the memo need not have a formal salutation such as, 'Hi', 'Respected', 'Dear', etc. Unlike a formal report which has to be completely objective, personal pronouns such as "I" and "you" are acceptable in a memo, as in the opening sentence of the memo shown in figure 3. This is because a memo is purely for the internal use of an organisation.
3. **Close/action** – Usually, unlike formal letters, memos did not have a formal close for example, 'Sincerely' and a signature line. However, nowadays many organisations close their memos with letters like 'Sincerely', followed by the handwritten signature and name of the person circulating

the memo. But it is up to the organisation standards which define the memo structure. Therefore, it is very important to know the standard template of the organisation to know the organisation standard.

If the purpose of the memo is not just to communicate the message, then there must be a clear call for action. The action indicates what the audience has to do for example, "I request you to review my proposal and to grant approval."

4. **Courtesy copy –** This is widely known as 'cc' and earlier stood for carbon copy. Sometimes a copy of the memo may go to another person(s). This is indicated by cc., followed by the name(s) of the person(s) to whom the memo is being sent. As shown in figures 1 and 2.

Memo format

A memo may follow one of two types of formats, depending on its nature and purpose:

- Direct organisational plan or deductive organisation
- Indirect organisational plan or inductive organisation

Let us discuss them in brief.

Direct organisational plan

This format is used when a memo is purely informational, as in figure 4. As the purpose is only to convey information, it is mentioned right at the outset and all the details are presented right away. This style of presentation is also used when the purpose of the memo is to persuade. This is appropriate when you are sure that your proposal or request will be accepted without any resistance. In this case, the writer can make the request right at the beginning and then list out the reasons.

TO : The Marketing Manager

FROM : The Sales Manager

DATE : March 10th, 2008

SUBJECT : Increase in the number of salespersons

Based on my experience and knowledge of territory X, for which I am responsible, I feel that an increase in the sales force will yield a positive growth rate. Therefore, I would like to recommend that we increase the number of salespersons from 10 to 15, so as to reach more number of prospective customers.

I have done an in-depth analysis of the current market situation in territory X. Although several new entrants and our existing competitors have done well, we continue to enjoy a good reputation in the market. Although the current rate of growth is disappointing, the future market potential is enormous, pointing towards a positive growth.

Strengthening the sales force will be advantageous for the following reasons:

- Increases the reach of the company to the customers
- Increases the frequency of calls made
- Gives us an edge over the competition

In view of the above long-term benefits to the company, I request you to consider my proposal and to grant approval.

Fig.4: Direct organisational plan Memo

Figure 4 depicts an example of a persuasive memo that is written following the direct organisational plan or deductive organisation.

In the memo shown in figure 4, the sales manager is confident that his request for strengthening the sales force will be granted, as it has obvious benefits. Therefore, the request is made right at the outset, followed by the reasons.

Indirect organsational plan or inductive organisation

This type of memo format is appropriate when the purpose of the memo is to persuade, but when the writer feels that the reader might object to the request or the proposal. Therefore, the writer may try to convince the reader by presenting the reasons first and then making the request or recommendation right at the end. An example of a memo written using this format is depicted in figure 5.

TO : The VP Marketing

FROM : The Advertising Manager

DATE : March 11th, 2008

SUBJECT : Review of advertising campaign

An analysis of our latest sales reports has revealed that territory X, for which I am responsible, is a highly profitable one. This territory has been contributing to the bulk of our company's sales over the last one year. The annual advertising budget for our products being sold in territory X is currently Rs. 50 lakhs.

Although our advertising has been satisfactory, it needs to be reviewed for the following reasons:

- More frequent advertising is needed to improve awareness levels of our products, which are still new to the market.
- Advertising is an investment and needs to be sustained over a long term, in order to build our brand.
- Building a positive brand image through advertising can help build long term brand loyalty.
- Fast moving consumer goods such as ours require a higher percentage of sales spent on advertising, during the introductory stage.
- We need to spend an amount on advertising that is comparable to our closest competitor in the region.

In view of the long-term benefits of advertising, I would like to recommend doubling our advertising budget in territory X to Rs. 1 crore a year. I request you to consider my proposal and to grant approval.

Fig. 5: Indirect Organizational Plan Memo

In the memo shown in figure 5, the writer mentions his request or proposal at the end and justifies the need for a bigger advertising budget first, by listing out the reasons. The writer is suggesting that the budget be doubled, but the writer is not sure if the request will be granted. That is why the indirect organisational plan is used instead of the direct plan. Unlike the direct plan, the subject line does not reveal the real purpose of the memo, which is a request for double the budget in the memo shown in figure 5.

2.3. Language and writing style of a memo

As the memo is a short, informal report, the following points have to be remembered regarding the language and style that is used:

- **Be concise** – It is important to be brief and focus on the point so that the memo does not exceed two pages in length. Make the sentences and paragraphs short, limit each paragraph to five

lines or less, and use bullet points wherever possible. If you are giving reasons, number them or put them in separate paragraphs with double line spacing. Otherwise use single line spacing between lines.

- **Use active, not passive voice** – As mentioned earlier, the use of personal pronouns and active voice is permitted in a memo, unlike a formal report where the passive voice must be used for the sake of objectivity. In other words, it is appropriate to say for example that "Based on 'my' experience, 'I' feel that the budget is not adequate."
- **Use simple language** – In earlier units, the importance of using simple English was emphasised. It is good practice to use short and simple words. At the same time avoid trying to impress the reader by using unnecessary jargon.
- **Avoid giving too many reasons –** Although it is important to provide a justification when you make a request or try to persuade someone to do something, do not overdo it. In general, a reader can only absorb a maximum of six or seven reasons at once. Therefore, do not overstate your reasons.
- **Close with a call for action** – Do not leave the reader hanging. If you wish to persuade the reader to accept your request or recommendation, you must say it clearly using action words and indicating a time frame or limit. For example, "I would like to discuss this in person with you and get your approval before the end of this week."

Therefore, while writing business memos it is important to have clarity in writing, use short and simple words, use positive language, keep paragraphs unified and coherent, have one idea in one paragraph, and use the right tone.

Common mistakes while using memos

Sometimes people misuse or overuse memos. Even if we are greatwriters, some information doesn't require an official form of communication. Often, when writing a memo, we have a hard time differentiating our major points from our minor points. Common mistakes include:

- Forgetting to proofread your memo. Sometimes, you find errors or ways to simplify your message by reading it after you are done writing.
- Using an inappropriate tone in your correspondence. Emotions have ahuge impact on the tone of your writing. Hold on to the memo before hitting the send button because you might need to change something you haven't yet noticed.
- Being afraid of using a passive voice. Sometimes it is better to use passive voice for political reasons. Creative writers have a difficult timedoing this, but it is appropriate for memos. (Only during exceptional cases)

(Source: http://stacienaczelnik.hubpages.com/hub/How-to-write-a-Memo)

Additional Reference:

Sehgal, M.K, & Khetarpal, V. (2011). Business Communication. New Delhi: Excel Books.

SELF-ASSESSMENT QUESTIONS – 2

Fill in the Blanks:	
4	The "To" heading of a memo mentions the name of the_____.
5	The use of _____and _____is permitted in a memo.
True or False:	
6	If the purpose of the memo is not just to inform you there must be a clear call for action. (True/False)
Choose the correct answer:	
7	Which among the following is a type of memo format? (Pick the right option) a) Inductive organization b) Incremental organization c) Deductive organization d) Decremental organization

3. CIRCULARS AND NOTICES

Memos, circulars, and notices are also written forms of communication within the organisation. The basic difference between a circular and a notice is that circulars are announcements that are distributed to small or selective groups of people within the organisation, whereas notices are meant for a larger group of people. Another way to differentiate a circular and a notice is that circular is circulated to respective individuals, whereas notices are put up on notice boards.

For example, if a manager wants to call a meeting of heads of departments, he will pass around a circular only to the heads, requesting them to attend that meeting.

On the other hand, notices generally contain information or announcements that are meant for all the employees of an organisation.

For example, a list of declared holidays for a calendar year is a notice, as the information is relevant to all employees.

The common purposes of using a notice in business communication are to:

- Invitation to a meeting
- Inform a new rule/regulation to be initiated or formulated
- Inform about an event to be held
- Inform the deadline for submitting any paperwork

Notice is therefore a legal document that has to be put up on an official notice or bulletin board.

Let us examine the following example to get a clear distinction between circular and notice.

Imagine that you are the President of the Student Committee in a management college and wish to hold a meeting to plan for the Annual Management Fest of the college. You will have to send some information to those whom you want to involve in organizing the Fest. You may not want all the students to be involved initially, as it may take a lot of time and there may be too many suggestions. Instead, you may choose to invite only the committee members to discuss details such as the date, venue, duration, how to get sponsors, etc. For this purpose, you may send a circular (as shown in figure 9.6) only to the student committee members, requesting them to attend the meeting.

During the meeting, the date and venue are finalized and various smaller committees may be formed, such as a reception committee and stage committee. You may also decide to get each student to contribute a nominal amount for the Fest.

In order to announce these details and to ask for student contributions, you may then put up a notice on the official college notice board, which all students can see and respond to. The notice can include the following details (as shown in figure 7):

- Purpose of the notice
- Date and time of the event
- Venue
- Names and details of special invitees

Figure 6 depicts a sample circular.

TO: All Members of Student Committee

CIRCULAR

Meeting to Plan for Management Fest

The purpose of this circular is to invite all the members of student committee for a meeting to plan for the upcoming management fest. All the members of the student committee are here by informed to attend the meeting on March 11th, 2010 at the college conference hall No. 2. The members are requested to share their ideas and opinions on the event during the meeting. Hence, you are asked to come up with a list of programmes, which will help the committee to discuss and finalise the list of events for the fest.

Please bring this circular to the notice of the Head of Departments of your respective departments and to the notice of the committee members as appropriate, for transmission to individual committee members.

President of Student Committee

March 5th. 2010

Fig. 6: Circular for Committee Meeting

Note that a circular, like a memo, is brief and to the point. It has a caption that indicates the message to be conveyed, and like a memo, there is no formal salutation or close as shown in figure 6.

Figure 7 depicts a sample notice for the fest.

GLOBAL SCHOOL of LEARNING March 15th, 2010

Global Towers, Bangalore REF: ADM/N/44-99

NOTICE

Sub: Management Fest

This is to inform all students of GSL that a Management Fest will be held at Global School Auditorium on Friday, March 19th, between 10 am and 7 pm. Special dignitaries Mr. Roy, a management guru and Dr. Arun Patil, Professor of Business Management, Group Institute will be gracing this occasion. Following topics will be dealt by the dignitaries:

1. Future of Knowledge Management: Mr. Roy
2. Importance of Business Management in IT industry: Dr. Arun Patil

Lunch and evening snacks are being organised for all students. All are encouraged to attend and make the event a success.

Mohan Kumar

President of Student Committee

Fig. 7: Notice for Management Fest

The notice depicted in figure 7 is meant for all students of the college. It has a reference number, date, a subject, similar to a memo. The signature, name, and designation of the issuer of the notice appear at the bottom on the left-hand side. The notice covers three different issues related to one subject. Students are first informed that special dignitaries Mr. Roy and Dr. Arun Patil will preside over the fest. Secondly, it informs the topics on which the dignitaries will talk during the fest. It also mentions that lunch and evening snacks will be served to all. Another important difference between a notice and a circular is that a notice is displayed in one place, whereas a circular is widely circulated among the members concerned. On many occasions, the signature of the reader is taken to ensure that the information has been transmitted.

Sometimes, under special circumstances, notices may also be sent to an individual or employee of an organisation. An example of this type of notice is the 'Show Cause Notice', which is sent when an employee is found to be guilty of major misconduct. The notice mentions the allegations against the employee and asks for a written explanation within a specified time, failing which the action that would be taken against him/her for example, being suspended from the job is stated.

Notices are read by a large number of people and can also be used as evidence in court cases. Therefore, care must be taken when writing them. They have to be worded very precisely and clearly, to make sure that there is no ambiguity. They must also be brief and to the point. The tone must be firm, but not offensive and arrogant. Depending on the type of notice, the duration of the display of notice is specified under various legal provisions.

SELF-ASSESSMENT QUESTIONS – 3

Fill in the Blanks:	
8	_____is an announcement that is distributed to small or selective groups of people within the organization.
9	_____mentions the allegations against the employee and asks for a written explanation within a specified time.
True or False:	
10	Depending on the type of notice, the duration of display of notice is specified under various legal provisions. (True/False)

4. PRINCIPLES OF WRITING BUSINESS LETTERS

Business letters can be used to communicate different messages to a variety of audiences. Business letters are also very different from personal letters, in terms of the degree of formality, tone, style and format used.

Consider the following business scenario.

Complaint and Response

ABC company ordered some office desks and chairs from XYZ company for its new branch office. But when the order was delivered, ABC company found that some of the chairs had not been Shipped. So, the purchasing manager of ABC company wrote the following letter to XYZ company informing them of mistake in the delivery. Table 8 shows the complaint letter of the purchasing manager of ABC Company.

Fig 8 : ABC Company 's Complaint Letter

21st October 2011

To,

The Sales Manager, XYZ Company, Bangalore – 560082.

Sir,

Ref: Our order no. BG/AB/1234 dated 15th September 2011 and your letter dated 22nd September 2011.

We had ordered 35 desks and chairs from your company. You had assured us in your letter dated 22nd September 2011 that we would receive our consignment by 20th October. We received the consignment on 19th October and found that only 35 desks and 25 chairs have been delivered.

We need to furnish the new office by 10th November. So, I request you to send the missing chairs as soon as possible.

Yours sincerely,

A. Kapoor

When Mr. J. Kumar, the sales manager of the XYZ company received the letter he conducted an inquiry. He sent an immediate reply to the purchasing manager of ABC company apologizing for the error and assuring the quick delivery of the same. His response letter is shown in fig 9.2

Fig 9: Response of XYZ Company

24th January 2012

To,

Mr A. Kapoor Purchase Manager, ABC Company, Bangalore – 560040.

Dear Mr Kapoor,

We received your letter dated 21st October and are sorry that you did not receive the complete consignment.

We have checked with our shipping department and according to our records, your entire consignment has been sent. Some error has occurred and we are checking with our transporting agent. We will investigate the matter thoroughly and ensure that you receive the missing chairs within a week.

Please accept my apologies. Yours sincerely,

J. Kumar

Business letters are used primarily to communicate with external stakeholders such as consumers, intermediaries, government and bankers. The principles of business letter writing are somewhat different from the principles of writing general letters. Business letters are much more formal than general letters. Before we go into the specifics of business letter writing, let us look briefly at some of these principles.

The principles that govern writing business letters are:

- **Consideration and courtesy –** It is very important to retain the goodwill of customers and other external public. A discourteous, rude letter can make you lose business. Therefore, the business letter should be extremely polite at all times and mindful of the "P" s and "Q" s, i.e., the words "please, thank you and sorry." Even if you happen to get a rude letter from a customer, you must respond politely, in order to retain the customer.

  If the company has been at fault, it is important to apologise to the customer for the mistake and for the inconvenience caused. The overall tone should not be negative. For example, avoid saying

"We cannot grant your request." Instead state it in a more tactful way, explaining the reasons for not being able to grant the request. You can write, "As the warranty period has expired, we are unable to grant your request of servicing the product without any charges". If you are sending a job rejection letter to a candidate, it should be worded politely and in a positive tone.

Consideration means that you should appeal to the reader's interest. The importance of stressing the "you attitude" rather than the "me attitude" is similar to the language of advertisements, which talk about the benefits of the product to the end user.

For example, instead of saying "We will be open 24 hours", say "You can avail round-the-clock service."

- **Directness and conciseness –** Business letters should be brief and to the point, avoiding unnecessary details and roundabout expressions. A typical Indian tendency is to be too wordy or 'verbose', using redundancies and unnecessary words. Business letters should give maximum information to the reader, using minimum words.
- **Clarity and precision –** Business letters should be clearly worded, and avoid the use of jargon, technical terms and slang words. Concrete words should be used, so that there is no ambiguity.

  Example: Instead of saying "I received your communication", it is better to be more precise and say, "I received your letter."

  The letter should include a single main idea and paragraphs should be used to elaborate on sub-ideas.
- **Appearance –** Apart from the content, the format, layout and overall look of the letter should be equally appealing to the reader. Attention should be paid to the quality of paper used. The margins should be appropriate, including one inch on each side and one and a half inches on top and at the bottom.

Figure 10 depicts a business letter and the standard components of it.

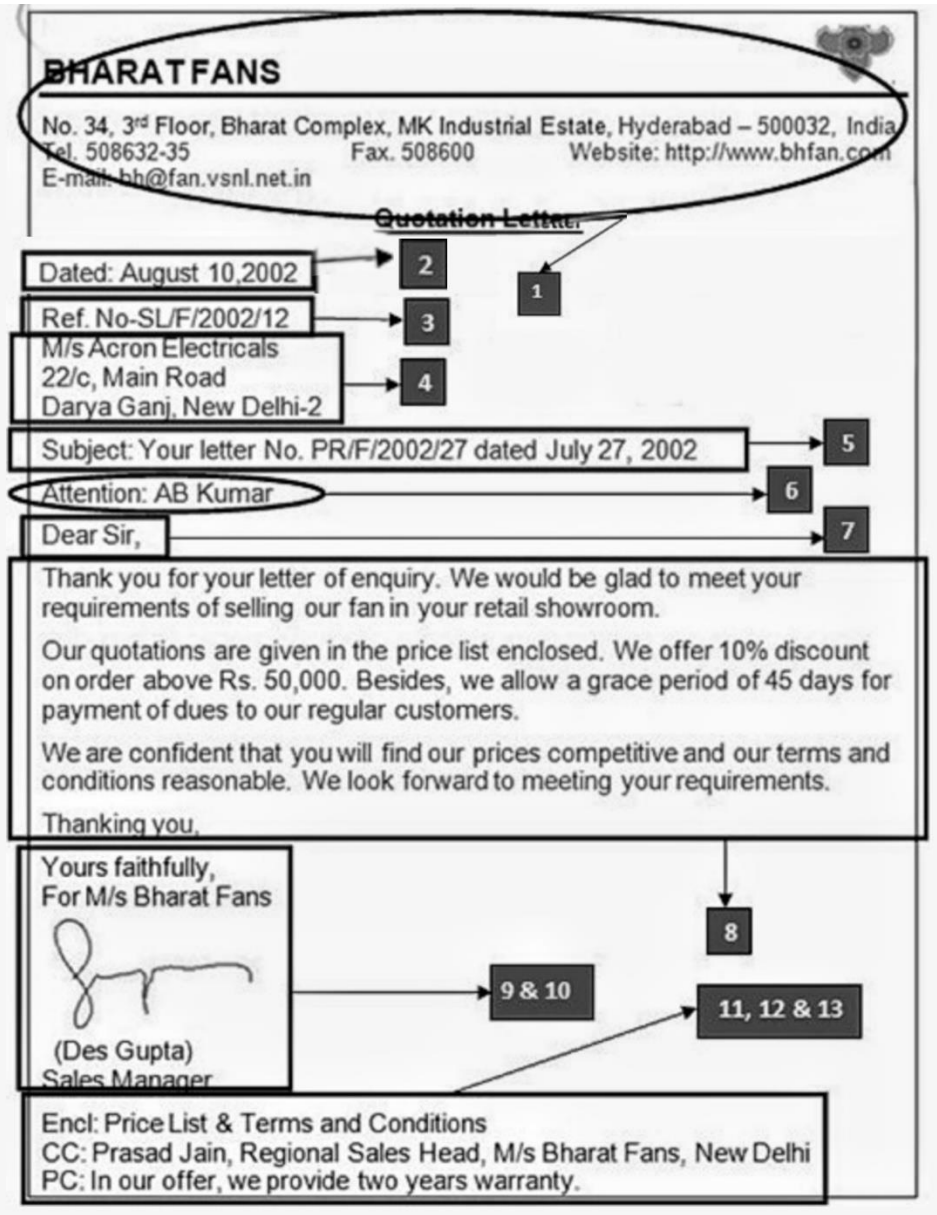


Fig. 10: Sample Business Letter

(Source: Adapted from http://www.nos.org/Secbuscour/cc14.pdf)

Let us now discuss the components briefly.

- **Heading –** The heading of a business letter usually contains the name and postal address of the business, E-mail address, Web-site address, Telephone Number, FAX, etc. As shown in figure 10, the Heading appears on top of the page. Usually, organisations use letter head as the heading which includes the company name and company logo as shown in figure 10.
- **Date –** This must be located in the upper left-hand corner.
- **Reference number –** This indicates the letter number; from which department of the company the letter is being sent and the year. This helps in future reference and it is given on the left-hand

corner after the heading. Usually, it is specific to the sender or organisation sending the letter. For example, as shown in figure 10, we can write reference number as AB/FADept./2003/27.

- **'To' address –** This includes the name and full address of the person or the firm to whom the letter has to be sent. This is written on the left-hand side of the sheet below the reference number. Letters should be addressed to the responsible head of the organisation as shown in figure 10.
- **Subject line** – It is a statement in brief that indicates the matter to which the letter relates. It attracts the attention of the receiver immediately and helps him to know quickly what the letter is about. For example, the letter shown in figure 10 is a reply to a letter and hence the reference number and date of the letter for which the reply is being sent is mentioned as the subject line. Subject line can come before attention and after 'To' address or after salutation and before the body of the letter.
- **Attention line** – Attention line usually is written above the salutation, but sometimes, it may be included below the salutation, in order to ensure prompt action. For example, "Attention: AB Kumar.
- **Salutation** – When addressing a firm, "Messrs" should be used before the name of the firm. Since business letters are formal, the appropriate salutation when addressing an individual is "Dear Mr./Ms., followed by the last name, rather than the first name, which is informal. If the gender of the reader is not known, it is better to use a neutral salutation such as "Dear customer" or "Dear investor".
- **Body of the letter** – This includes an explanation of the main idea(s) of the letter.
- **Close** – This is the end of the letter and should be polite and friendly, so as to retain goodwill. For example, a standard close for a business letter is "Yours faithfully" or "Yours sincerely" followed by the sender's signature, name and designation.
- **Signature** – It is written in ink, immediately below the complimentary close. As far as possible, the signature should be legible. The name of the writer should be typed immediately below the signature. The designation is given below the typed name. Where no letterhead is in use, the name of the company too could be included below the designation of the writer as shown in figure 10.
- **Enclosures** – Sometimes, a business letter may include an enclosure such as a pamphlet or a brochure, in which case this should be indicated at the end of the letter by listing the name of the enclosures, as shown in figure 10.
- **Courtesy copy** – This is required when copies of the letter are also sent to people apart from the addressee. It is denoted as C.C., as shown in figure 10.

- **Post script** – This is required when the writer wants to add something which is not included in the body of the letter. It is expressed as P.S., as shown in figure 10.

A well written business letter can serve as a powerful communication tool and enhance the profitability of the business.

SELF-ASSESSMENT QUESTIONS – 4

Fill in the blanks:	
11	Business letters are used primarily to communicate with_____.
12	Sometimes, an 'Attention Line' may be included below the _____ in a business letter.
True or False:	
13	Every business letter should have a salutation, a body and a close. (True/False)

5. TYPES OF BUSINESS LETTERS

Business letters may be used for a variety of purposes, including routine correspondence, building a good rapport, conveying pleasant or unpleasant news and persuading customers to buy the company's products. The types of messages conveyed through business letters can be categorised into the following three broad types:

- Routine messages or letters
- Bad news messages or letters
- Persuasive messages or letters

We shall now discuss these three categories in detail, including the guidelines and appropriate format to be used in each case.

5.1. Routine letters

Routine letters are letters on routine matters pertaining to day-to-day operations. Most of the business correspondence of the typical manager is on routine matters. The most common types of routine letters are:

- Routine requests and replies
- Routine claims and adjustment letters
- Goodwill letters
- Other routine letters

Let us now discuss the features of these letters in more detail.

Routine requests and replies

A routine request is a letter from a customer, asking for information on the company's products, or for product catalogues and brochures. It is termed a routine request, since the receiver of the letter is expected to do what is asked for in the letter, without having to be persuaded. In general, all organisations respond to such requests spontaneously, since it is an opportunity for them to promote their products. The response to such requests is known as a routine reply.

Fig 11 shows a sample routine reply letter in response to a customer request.

October 27th 2011

Thomas Mathew Purchasing Director Home Security Products 6/1 Benson Cross Rd., Bangalore – 560 046.

Dear Mr. Mathew,

I am writing this in response to your request for information regarding our HP 340 portable printer, to be used by your marketing representatives with their notebook computers when they travel.

I would like to inform you that the HP 340 is an advanced portable printer, which incorporates the latest technology and is compatible with all types of notebook computers. I would also like to provide the following specific answers to each of your questions:

- The HP 340 is a laser printer, with a wide range of applications. It is quicker, has more printout capability and consumes less ink cartridge than other laser printers.
- The HP 340 is battery operated and comes with a back-up battery, so that it may be used while travelling. It has a back-up of 5 – 6 hours, depending on the uses of the printer.
- The HP 340 has a 15-inch cartridge and is compact and easy to carry while travelling.
- The HP 340 comes with a three-year guarantee and all services will be free of cost.

The product can be ordered either by calling our toll-free number 1-800-353- 7857, or online, through our website www.hewlettpackard.com. As an incentive for purchase within the next one week, we are offering a 25% discount for our first 500 customers.

I look forward to your order and would be happy to give you information regarding our other products in future.

Sincerely,
Joe D'Silva,
Sales Manager,
Hewlett Packard Company,
Bannerghatta Rd.,
Bangalore – 560 028.

Fig 11: A Sample Routine Reply Letter

The letter shown in Fig 11 is concise and to the point, providing answers to each of the customers' queries regarding the product. The last paragraph provides details that make it easy for the customer

to order the product, along with a special incentive for early purchase. The close is positive and tries to build a long-term relationship with the customer.

Routine claims and adjustment letters

A routine claim letter is written by a buyer or a customer to a seller, requesting some type of action or adjustment, to correct a problem with the seller's product or service. It is more than just a letter of complaint and may be written by an individual or an organisation.

The action sought in a claim letter may be replacement or repair of a defective product, a full or partial refund, or just an apology for poor service or unfair practices. A claim letter is considered as a routine letter, since the seller or the organisation will normally comply with the request for remedial action. For example, if you order a product from a catalogue that mentions a particular price, but the seller charges you more, you can expect the seller to respond to your request to make an adjustment in the price.

A routine adjustment letter is the seller's response to a routine claim letter, informing the buyer or customer about the action that has been taken. The reason for the problem should also be explained in a detailed and straightforward manner, along with the measures taken to prevent the problem from recurring. The letter should sound credible, so that the customer's faith in the company and the product is restored.

Fig 12 shows a sample routine claim letter regarding a defective product.

October 28th, 2011

The Customer Service Representative
Colour View Graphics
14, Airport Rd.,
Bangalore – 560 001.

Dear Customer Service Representative,

Subject : Inferior quality of colour slides

The poor quality of the colour slides that you developed for me on March 20th made them unsuitable for use in my marketing strategy presentation to my marketing team

last week. As a consequence, I had to use transparencies with an overhead projector instead.

I have enclosed one of the dozen slides sent to me, as proof of the defective quality. As you can see, the colours overlap and the type is not clear. The slides do not meet the high quality standards promised in your recent colour advertisement in Business Today.

Since I have already made the presentation for which I required these slides, redeveloping them now would not solve the problem. Instead, I request you to cancel the charge of Rs. 5000 in your invoice 3063 dated March 22nd, which I have not yet paid. I can return the remaining eleven slides to you, if required.

I am aware that mistakes like these happen sometimes, in spite of one's best efforts. I am confident that you will accept my request and correct this mistake promptly.

Yours sincerely, Walter Thompson, Marketing Manager

Encl 1: Slide

Fig 12: A Sample Routine Claim Letter

In the letter shown in Fig 12, the buyer can reasonably expect the seller of the defective product to make an adjustment by cancelling the charges, since the quality of the slides is clearly inferior to what was promised.

Goodwill letters

These are routine letters that have no business objective, but are sent purely for building good rapport with external stakeholders. Such letters may express appreciation, sympathy or congratulations. Examples include letters to express sympathy over a business setback, appreciation for winning an award, gratitude for being on a panel of judges, or congratulations for opening a new branch office.

Fig 13 shows a sample appreciation letter for good performance.

October 27th 2011

Mohan Kumar,

Team Lead,

Tech Software Pvt. Ltd.

6/1 Benson Cross Rd.,
Bangalore – 560 046.

Dear Mohan Kumar,

You have proven the sceptics wrong and accomplished what most said was impossible.

There is no doubt that your recent achievements will be spoken of for some time to come and that the admiration for your accomplishments is felt by all of us within the industry as well as the general public.

Please accept my heartiest congratulations for your success.

Yours sincerely,
Joe D'Silva,
Project Manager,
Tech Software Pvt. Ltd.
6/1 Benson Cross Rd.,
Bangalore – 560 046.

Fig 13: A Sample Appreciation Letter

Other routine letters

Routine letters can also be addressed to an external audience other than consumers. For example, letters inviting 'quotations' may be sent to several suppliers, asking for the prices of raw material or components. The idea is to ensure getting the best price. Such letters should state the details of the material required, the information needed regarding price, guarantee, service, etc., provided by the supplier, and the time within which the material is required. Once a quotation is accepted, an order letter is sent to the supplier, placing the order for the required material.

'Tenders' are letters inviting a provider of a service, such as construction of roads, to quote the rates for that particular service. They are usually sent for work that is spread over a period of time.

Letters requesting purchase of goods on a credit basis, letters granting credit and letters of collection addressed to customers are some other common types of routine letters.

Fig 14 shows a sample quotation invitation letter.

10 February, 2010

Marketing manager,

XYZ Pvt. Ltd,

Twin towers, St Marcs Street

Bangalore – 560045

Dear Sir/Madam,

Sub: INVITATION TO QUOTE FOR EVALUATION OF THE NETWORK TO PROMOTE LINGUISTIC DIVERSITY

You are invited by the Network to Promote Linguistic Diversity (referred to as 'the ABCD') to submit a quotation for a firm price contract for the Evaluation of the ABCD. The requirement is described more fully in the attached specification.

Offer and Acceptance

Contractors are required to abide by their bids for 30 calendar days from the date given for receipt of bids. Quotations shall be treated as confidential. The ABCD reserves the right to accept such a portion of the bid as it may decide but does not bind itself to accept the lowest or any bids.

Contract Period

The contract shall be carried out during April/May 2010 on a date suitable to both parties (contractor and contractee). It is the intention of the ABCD to present the report at its annual General Assembly meeting in June 2010.

Form of Contract

Goods or services ordered by the ABCD as a result of the bid shall be in accordance with the ABCD's conditions of contract. (Please note that the ABCD is a subsidiary of the Welsh Language Board - the Terms and Conditions are those of the aforementioned organisation.)

The Debriefing

Both successful and unsuccessful contractors who wish to have the opportunity of debriefing should contact Ms. Heledd Daniel after award of the contract (post@abcd.eu).

Yours sincerely,



Meirion Prys Jones
Chairman, ABCD
ABCD Pvt. Ltd.
5-7 Market Chambers, St Marcs Street
Bangalore 560045
Phone: 00 44 (0) 29 20 87 80 41
Fax: 00 44 (0) 29 20 87 80 01
Website: www.npld.eu

Fig 14: A Sample Quotation Invitation Letter

5.2. Bad news letters

A bad news letter conveys unpleasant news to customers or other external stakeholders. Typical examples of this type of letter are rejection of customer claims or requests for adjustments, job rejection letters to prospective employees, letters giving news about sudden price increases, products being discontinued or about problems faced by the organisation, such as losses and lay-offs. When conveying bad news, the letter should be written tactfully and worded in a positive manner.

Fig 15 shows a sample bad news letter refusing a customer claim.

October 28th, 2011

Mr. John Smith,
The Dean
XYZ School of Business
Cunningham Rd.,
Bangalore – 560 034.

Dear Mr. Smith,

We make no money when our customers are forced to take long trips by train, rather than by flying Kingfisher Airlines and when that happens, we try to find out the reasons.

A review of the March 19th flight records of the cancelled Kingfisher Airlines flight 1256 shows that it was scheduled to leave at 6 am and was cancelled at 5.30 am, because of foggy weather. Passengers were asked to remain in the boarding area and those who did were rebooked on flight 1257, which departed an hour later at 7 am. This flight arrived in Bangalore just an hour later than the scheduled arrival of flight 1256. Therefore, our ticket agent was correct in refusing to grant a refund on tickets to you and other passengers who did not take the later flight.

You have mentioned in your claim letter that you are a frequent flyer of Kingfisher Airlines. Although we cannot grant you a refund, I have asked our Scheduling Department to add your name to our mailing list, and to receive a free subscription to our in-flight magazine. A complimentary copy of our current flight schedule is also enclosed. From now on, you will know exactly when every Kingfisher Airlines flight arrives and departs from Bangalore airport.

Sincerely,
Service Representative,
Kingfisher Airlines

Encl 1: Complimentary copy of current flight schedule

Fig 15: A Sample Bad News Letter

In the letter shown in Fig 15, the bad news, namely, the refusal to grant a refund to the passenger for not boarding the flight is conveyed indirectly.

The airline tries to compensate for the bad news by offering a free subscription to their magazine and a complimentary copy of their flight schedule.

5.3. Persuasive letters

The most common type of persuasive letter is a sales letter addressed to customers, persuading them to buy your company's product. A sales letter is similar to an advertisement and uses the same "AIDA" (Attention, Interest, Desire and Action) format. This means taking the consumers through different mental stages in a particular sequence – first getting their attention, creating interest by highlighting unique features of the product, inducing desire by convincing them that the product is better than

others and then motivating them to try the product. Sales letters are used to sell industrial products such as machinery, consumer durable products and other high- value items.

Fig 16 shows a sample sales letter written in the persuasive format.

October 27th, 2011

Dear Home Owner,

The saying goes that an Englishman's home is his castle. Do you see your home as an investment in real estate or as your castle? Is it a means of getting tax exemptions, or a place where you can unwind and relax after a stressful week at work?

Homes should be viewed as places where we feel safe and free from outside intrusions.

Unfortunately, this is not the case, since recent statistics show that 10% of households in Bangalore city were robbed last year. How can you protect yourself?

Home Security Products offers a simple and dependable solution – the SafeHome Burglar Alarm System, which can protect up to 2500 square feet of your home. Just plug it in, adjust the sensitivity to the size of the room and turn the key.

SafeHome's microprocessor screens out normal sounds like dogs barking, babies crying rain and traffic. Only hostile sounds such as the breaking of glass will trigger the alarm. The alarm is also loud enough to alert the neighbourhood and to drive away the smartest burglars.

You may wonder what might happen if a clever burglar disconnects the electricity to your home. You need not worry, since SafeHome has built-in batteries that recharge automatically and ensure that it operates in spite of power failures. The best thing about SafeHome is the ease of installation. You simply have to mount it on a wall and plug it in.

Security now comes at a price that you can afford – just Rs. 999, along with a one year warranty and a 10 day return policy, to ensure complete satisfaction.

With SafeHome, burglaries will soon be a thing of the past. Ordering it is easy – just call our toll-free number 1-800-222-3333 and use your credit card. SafeHome will be home delivered to you within a couple of days. Soon, your home will be a haven of peace.

Sincerely,

National Sales Manager
Home Security Products

Fig 16: A Sample Sales Letter for a Home Security System

Note that in the letter shown in Fig 16, a dramatic question is asked to grab the attention of the reader, followed by startling figures – the fact that a high percentage of homes have been robbed. Interest is then created by mentioning the product's Unique Selling Proposition (USP), or the features and

benefits that are unique to the product. The product is highlighted as simple, dependable and easy to install. Desire is induced by overcoming any doubts or objections that the reader may have, such as the product functioning during a power failure. Finally, the reader is motivated to take action, by making it easy for him/her to order the product, by calling toll free and using a credit card. The product benefit is reinforced at the end of the letter.

SELF-ASSESSMENT QUESTIONS – 5

Choose the correct Answer:	
14	Which of the following letters inform the buyer or customer about the action that has been taken? a) Claim letters b) Adjustment letters c) Goodwill letters d) Persuasive letters
True or False:	
15	Letters giving news about sudden price increases are examples of bad news letters. (True/False)
Fill in the blanks:	
16	The most common type of persuasive letter is a _____.

6. FORMAT FOR BUSINESS LETTERS

Unlike general letters, business letters should be written following a specific plan or format. The following two alternative types of formats may be used, depending on the type of message that is conveyed:

- The direct organisational plan or the deductive pattern
- The indirect organisational plan or the inductive pattern

We will discuss each of these in detail, with an example of each.

6.1. Direct organisational plan

The direct organisational plan is followed for all routine letters and for messages that convey good news. The pattern followed is:

1. Present the main idea first
2. Provide explanations, reasons, details and background information
3. End with a friendly closing

The advantages of following this plan are:

- The first sentence can be written with very little hesitation and there is a logical flow to the letter, since the explanation or details follow the main idea.
- Presenting the main idea first will attract the attention of the reader.
- If pleasant news is being conveyed to the reader, presenting it first puts the reader in a good frame of mind. He/she will be more inclined to read the rest of the letter.
- Once the reader gets the main idea, he/she can quickly scan through the rest of the letter, thus saving time.

The routine claims and adjustment letters given in figures 17 and 18 are written using the direct organisational plan.

Dear Customer Service Representative,

I am writing this to request you to replace the music CD "Golden Tunes of the Sixties", which you had mailed me last week.

I was very impressed with your TV advertisement of the CD "Golden Tunes of the Sixties". Your statement "100% satisfaction guaranteed" made me place an immediate order and send you a cheque for Rs. 1000. This seems to be an outstanding CD with great music, but it arrived with a visible scratch on one side, which distorts the music when it is played.

I am confident that you will live up to this guarantee. I am returning the CD to you and would like another one in first class condition. In case you do not have one in stock, I would like to request a refund.

Sincerely,
John Smith

Fig 17: A Sample Claim Letter Written Using the Direct Organisational Plan

Note that in the letter shown in figure 17, the action or adjustment is requested in the very first sentence. The second paragraph explains the details supporting the request for action.

The closing is friendly, expressing confidence that the request will be granted.

Fig 18 shows a routine adjustment letter, granting a request for exchange of defective shirts, also written in the direct organizational format.

Dear Customer,

In view of the fact that you are a regular customer, we are sending you two new wash-and-wear shirts for free, to replace the two shirts that turned grey, due to use of strong bleaches. Your account will not be charged.

Compared to conventional shirts, our shirts stay whiter, remain more wrinkle-free and last longer. However, they must be hand washed rather than machine washed with bleaches, in order to keep them white and to maintain them in good condition. When you take the shirts to your laundry, just ask them to follow the washing instructions on the label.

We will be sending you our annual clearance sale catalogue in a few days and look forward to your future orders.

Sincerely,
Customer Service Representative

Fig 18: A Sample Adjustment Letter Written Using the Direct Organisational Plan

In the letter given in Fig 18, the main idea – granting the customer's claim for exchange of shirts that have changed colour, due to use of a washing machine – is mentioned in the very first sentence, following the direct plan. An explanation follows, giving the reasons for the spoiled shirts and instructions for future care. The letter ends with a friendly closing.

6.2. Indirect organisational plan

The indirect organisational plan or format is followed for bad newsletters and for persuasive letters. When conveying unpleasant news, the letter should be worded tactfully and try to minimise the disappointment of the reader. Since the bad news should be de-emphasised, it is better to place this at the end, rather than at the beginning of the letter. Therefore, the indirect plan with the following pattern is recommended:

1. Begin the letter with a 'buffer'. This is a neutral or positive statement that lessens the impact of the bad news. For example, if the bad news of a price increase is being conveyed to a customer, begin with a statement about the company's philosophy of 'customer satisfaction.'
2. Present the facts, a background analysis and the reasons for the bad news. Try to convince the reader that the decision is inevitable.
3. State the bad news, or the main idea, in positive or neutral language. Avoid apologising to the reader.
4. Close in a friendly manner. Offer some kind of compensation, or special incentive, to make up for the bad news and to retain the reader's goodwill.

An example of a bad newsletter written in the indirect organizational plan is shown in Fig 19.

October 30th 2011

Mr. John
Stanley ABC
Distributors
11, Queen's Rd.,
Bangalore – 560 046.

Dear Mr. Stanley,

Distributors have always been the force behind our success. ABC distributors, in particular, who have been our main distributors for over three decades now, have contributed significantly to our company's sales.

A review of our half yearly report, however, indicates that in South India, we have experienced a significant decline in market share in the frozen food segment. This is mainly because people are conservative in their eating habits. They are becoming more health-conscious and are opting for fresh products. Due to this increasing trend, we have decided to phase out this line of products, for which you have been our main distributors.

However, we have plans to launch several new products in the future. We will be introducing a new range of ready-to-eat products for working women very soon, for which we will be pleased to offer you the distributorship. Enclosed are a few samples of our new range of products for your consideration.

Looking forward to a positive response from you,

Sincerely,
Marketing Manager
Encl 1: Samples of our new products.

Fig 19: A Sample Bad News Letter Written in the Indirect Organisational Plan

Note that the letter shown in figure 19 begins with a 'buffer' statement in the opening paragraph, giving credit to the distributor for having contributed to the company's sales in the past. This lessens the impact of the bad news that follows in the next paragraph, namely, dropping a product line distributed by them. The background and the justification for the decision to drop the product line are explained in the second paragraph. In order to compensate for this bad news, the distributorship of a new range of products is offered, along with some product samples.

The indirect organisational plan or the inductive pattern is also used when writing persuasive letters such as sales letters. In a sales letter, the main idea is asking the customer to buy your company's product. This cannot be stated right away, since the reader first has to be convinced about the benefits of the product, before he can be asked to buy or try it. Therefore, it is necessary to delay the main idea, or ask for action, until you have presented the reasons. In other words, the reasons will be presented first, then the main idea, followed by a friendly closing.

The sample sales letter shown in Fig 16, for a home burglar alarm system, was written in the AIDA format. The AIDA format is essentially an indirect organisational plan. It tries to capture the reader's attention first and then creates interest in and desire for the product, before asking for purchase of the product.

Do's and Don'ts of the Business Letter:

- Remember to use formal language and avoid any typographical errors.
- Start the letter with a friendly opening.
- State your reason for writing a business letter.
- Always have an idea to whom you are writing.
- Specify necessary details like time, date, venue, etc.
- Be to the point and straight forward.
- Write the letter with a polite tone but avoid being overtly personal.
- Keep the letter short and concise and with specific details.
- Do not write long introductions and unnecessary statement.
- Check for grammatical errors and spelling mistakes.
- Avoid usage of slangs or messaging language as that does not indicate professionalism.
- If possible the business letter should not be hand written and should be typed as it looks more professional and the letters are visible.
- Close the letter by thanking the person for his/her time and consideration.

(Source: http://www.letterwriting.co.in/dos-and-donts-of-the-business- letter.html)

Activity - 2

Imagine that you are the Marketing Manager of a consumer durables company. You receive a letter from a lady customer, claiming that a frost-free refrigerator that she purchased from you is a defective one and demanding an adjustment in the form of a replacement. Write a tactful reply to her, explaining why an adjustment is not possible.

(Refer Table 11 for detailed guidelines.)

SELF-ASSESSMENT QUESTIONS – 6

Fill in the Blanks:	
17	A letter expressing a goodwill message should follow the _____organizational plan.
18	A_____is an opening statement in a bad newsletter.
19	In a persuasive letter, the indirect plan is called the _____.
True or False:	
20	Letters following a direct organization plan end with a friendly closing. (True/False)
21	The direct organizational plan is used when writing persuasive letters such as sales letters. (True/False)

Additional Reference:

Roberts, J. (1998). Business Letter Writing: Your Questions and Answers.

Great Britain: Trotman and Company Limited.

7. COMMUNICATING THROUGH E-MAIL

Although e-mail is a tool for external communication, it is also regularly used within an organisation, in place of telephone and face-to-face communication. This is because e-mail is instantaneous and allows you to send messages that others can pick up at their convenience. Besides, e-mail also makes it possible to send messages to people anywhere in the world and to people who are otherwise impossible to reach.

While the other forms of written communication are highly formal in nature, e-mail is more informal and spontaneous. It is therefore easier to write an e-mail message than it is to write a business letter or a report.

Attention has to be paid to the language, style and tone. As e-mail is quick, easy to use and spontaneous, it can also help to improve personal relationships in the workplace.

Two of the most primary types of business communication e-mails are as follows:

- **Business-to-Customer (B to C) e-mails** – If the business communications or a transaction happens over e-mail, directly between the company and consumers it is called B to C e-mails. Usually, companies that sell products directly to consumers can be referred to as B to C companies. These companies (like online retailers) communicate with their customers via e-mails.
- **Business-to-Business (B to B) e-mails** – This type of e-mail communication happens between two businesses for example, when the manufacturer sells the product to a wholesaler. Let us now study the principles that you need to follow while communicating over e-mail.

7.1. Principles of e-mail communication

The principles of communicating through e-mail are a little different from the principles of written communication, as e-mail is more informal in nature. Figure 1 depicts the principles of e-mail communication.



Fig. 20: e-mail Communication Principles

Let us now discuss the principles shown in figure 1 in detail.

- **Watch the content** – e-mail messages are not always confidential and one can never be sure who will read them. The minute an e-mail message is sent, multiple copies are created on your own Personal Computer (PC) and server. At the same time, a copy is also created on the recipient's PC and server. There is no way of ensuring that the message will not be forwarded to others. Sometimes, e-mail messages can even be used as proof in court. Once a message is sent, a permanent record is created. Therefore, it is always wise to avoid writing anything negative or offensive in e-mails.

  It is particularly important to watch the content of official. e-mail messages sent using an employer's equipment. As the employer has a right to read the message and is legally responsible for its content, it must be carefully worded.
- **Pay attention to the tone** – The very nature of e-mail communication can make the message sound negative, abrupt and rude. For one thing, e-mail lacks the personal quality of face-to-face communication, where body language and other non-verbal cues may be used to make the communication more positive. Secondly, e-mail messages are brief, use short words and sentences and lack salutations. Brief messages may be interpreted as being rude and unfriendly. Therefore, you must pay close attention to the tone of the message and ensure that you sound friendly and courteous. Avoid using humor and sarcasm which might be misunderstood or sending messages when you are angry or annoyed.

- **Include a specific subject line** – Your e-mail message must always include a subject line that clearly mentions the topic of the e-mail. As business executives receive several e-mails a day, this would help them to decide which messages are most important to them. They may also have an idea of what the message contains.
- **Place important information first** – As business executives do not have time to read lengthy e-mail messages, it is a good idea to put all the important information that you want to convey in the first three lines of the message. Whether you are seeking clarification, making a request or giving instructions, it is best to mention this right at the outset, so that it is noticed.
- **Explain attachments in the body of the e-mail** – Attachments take time to download and must be sent along with an explanation in the body of the e-mail, as to what they are all about. This makes it easier for the recipient of the message to decide whether they must be opened or not. Otherwise, it can lead to unnecessary waste of time.
- **Use the "to" and "cc" button carefully** – The "to" box must be used only to send messages to people who are responsible for doing something. The "cc" button is used when sending multiple copies of the same e-mail message to other recipients, who need to be kept informed on a specific issue. This must be used with care, making sure that the message is sent only to the right people. It is important to respect privacy, as not everyone likes having their e-mail address displayed to others. Besides, sending a long list of e-mail addresses can interfere with the reading of the main message.
- **Pay attention to brevity, emphasis and white space –** The look, appearance and language used in the e-mail message can influence the readability of the message. Some techniques for enhancing readability of e-mail messages include short paragraphs (six lines maximum), spacing between paragraphs, use of bullet points and numbers for lists, use of paragraph captions, highlighting main points in bold type and use of white space.
- **Use the "WIFM" rule –** WIFM stands for "What's in it for me?" and means that the benefits of your message to the reader must be emphasized. This involves the use of the second person pronoun, 'you', rather than the first-person pronoun 'I' or 'me'. It is important to stress the 'you' attitude rather than the 'me' attitude.
- **Tidy up your mail box** – e-mail traffic can lead to your inbox becoming cluttered, with more messages than you can handle. It then becomes difficult to retrieve important messages when you need them. It is therefore a good idea to clean up your mailbox regularly, by deleting unimportant messages. The important messages that you want to refer to later must be put

into separate topic folders. Every now and then, any outdated messages in the topic folders must also be deleted.

- **Proofread your e-mail message** – Just as it is important to proofread business reports, letters and memos, e-mail messages must also be checked for spelling and grammar mistakes, so as to avoid any embarrassment.
- **Set aside time to check e-mail –** e-mail must not become a substitute for face-to-face interaction at the workplace or use valuable time that could be spent on other important jobs. It is a good idea to determine a certain time during the work day when you can check and respond to e-mail messages.

7.2. E-mail etiquette

Similar to meeting etiquette which we discussed in unit 8, there is etiquette for writing e-mail messages, which must be strictly followed. They are:

- **Mind your P's and Q's** – These refer to the three 'magic' words, 'Please', 'Thank You' and 'Sorry'. They are all the more important in e-mail messages, which have to be extra polite and friendly.
- **Avoid 'shouting'** – Shouting in an e-mail message refers to use of all capital letters in the text. If only capital letters are used, it makes it difficult to read a message and is therefore considered to be rude, like shouting.
- **Avoid symbols and acronyms** – Symbolic messages using punctuation marks, known as 'emoticons' for example, , etc., must be avoided, especially in business related e-mail messages. Similarly, abbreviations like BTW for by the way must be avoided as they sound over casual and may not be understood by everyone.
- **Use friendly salutations and sign-offs** – Although these are not strictly required in e-mail communication as in business letters, a salutation such as "Dear John" and a sign-off such as "Warm Regards", helps to make the tone friendly and personal.
- **Respond promptly** – In the case of business-related e-mails, it is important to respond promptly, especially when communicating with superiors. Even if you are hard pressed for time, are out of town or out of the office, you can set an automatic e-mail response to your messages received, which will mention that you will be responding in detail on a specific date.
- **Avoid personal messages at work** – Do not make use of office facility to send personal e-mail messages. As confidentiality of the message is not guaranteed, it may lead to embarrassment later.

- **Avoid sending 'junk mail'** – Do not send irrelevant messages or messages that are not work related to people at work. If you overload people with this kind of mail, they will not pay attention to the really important messages.

Some Do's of e-mail

Use e-mail when:

1. you wish to be a part of a network where you can share information andreceive information from others.
2. you want to contact important people quickly and save time spent in meetings.
3. you want to send information to a large number of people located acrossthe globe.
4. you want to establish a professional image. Your language and writing style on electronic media can say a lot about you, just like your dress andoutward appearance. Watch your spelling, grammar and usage ofEnglish.
5. you want to cut through hierarchy and speed up team projects.

E-mail must be used constructively and judiciously, to meet your goals at the workplace and to enhance your performance.

Activity - 3

List three different situations at the workplace when e-mail communication would be more appropriate for conveying a message, compared to oral and written channels, explaining why.

SELF-ASSESSMENT QUESTIONS – 7

Choose the correct Answer:	
22	E-mail is more _____and _____. (Pick the right option) a) Informal, spontaneous b) Elaborate, spontaneous c) Informal, elaborate d) Formal, elaborate
True or False:	
23	The very nature of e-mail communication can make the message sound negative, abrupt and rude. (True/False)
Fill in the Blanks:	

24	_____ take time to download and must be sent along with an explanation in the body of the e-mail.
25	_____make it difficult to read a message and is therefore considered to be rude.

8. SUMMARY

Let us recapitulate the important concepts discussed in this unit:

- Compared to other forms of communication, written communication is preferred as it provides a tangible and verifiable record of the information that was exchanged.
- Memo writing is similar to précis writing where detailed information is presented in a concrete form to the audience, especially to top executives of an organisation.
- A memo comprises the following components:
  - Header
  - Body
  - Close/Action
  - Courtesy copy
- Depending on the nature and purpose, a memo can be classified as:
  - Direct organisational plan
  - Indirect organisational plan
- The language and writing style of a memo is very circular and you have to be concise in your writing, use an active voice, use simple language, avoid giving too many reasons, and close with a call for action.
- A circular is an announcement that is sent to a selective group of people, but notice is an announcement that is sent to everyone concerned.
- Show cause notice is a special kind of notice that is sent to individuals or groups demanding an explanation on an issue.
- Just as memos, circulars and notices are used to communicate with internal audiences, business letters are written channels that are used to communicate with external audiences.
- Business letters are much more formal than general letters and should be written keeping in mind the following principles:
  - Courtesy and consideration
  - Directness and conciseness
  - Clarity and precision
  - Appearance and format
- The components of a business letter include:
  - Date

- "To" address
- Salutation
- Attention line
- Subject line
- Body
- Close
- Enclosures

- The messages conveyed through business letters may be divided into the following three broad categories:
  - Routine messages
  - Bad news messages
  - Persuasive messages
- Most business letters are written to convey routine messages regarding day-to-day operations. Such messages may be conveyed through the following types of letters:
  - Routine requests for product information and routine replies
  - Routine claims and adjustment letters
  - Goodwill letters
  - Letters inviting quotations from suppliers
  - Letters placing orders with suppliers
  - Credit and letters of collection
- Business letters are written in either of the following two formats:
  - The Direct Organisational Plan
  - The Indirect Organisational Plan
- The direct organisational plan includes the following steps:
  - Present the main idea first
  - Give explanations and reasons
  - End with a friendly closing
- All routine letters follow the direct organisational plan. The advantage of this format is that it gets the reader's attention, encourages him/her to read the rest of the letter, saves time and has a logical flow.
- The indirect organisational plan is used for conveying bad news messages and persuasive messages such as sales letters. It includes the following steps:

- Present the reasons and explanations first.
- Tell the main idea.
- End with a friendly closing.

- The logic behind using the indirect organisational plan in a bad newsletter is to minimise the impact of the bad news, by delaying it till the end of the letter. The bad news should be expressed in a positive manner and some compensation offered to the reader, in order to make up for the bad news.
- A persuasive letter such as sales letter also follows the indirect organisational plan. In this case, the AIDA format is used to first gain attention and convince the reader about the product's benefits, before asking for action or purchase of the product. The main idea, which is the call for action, is presented at the end.
- E-mails are widely used in business communication instead of face-to- face communication.
- We have to follow the following principles to improve the efficiency of the e-mails that we send:
  - Watch the content
  - Pay attention to the tone
  - Include a specific subject line
  - Place important information first
  - Explain attachments in the body of the e-mail
  - Use the "to" and "cc" button carefully
  - Pay attention to brevity, emphasis and white space
  - Use the "WIFM" rule
  - Tidy up your mail box
  - Proofread your e-mail message
  - Set aside time to check e-mail
- The following are the etiquette to be followed while using email for business communication:
  - Mind your P's and Q's
  - Avoid using all caps
  - Avoid symbols and acronyms
  - Use friendly salutations and sign-offs
  - Respond promptly
  - Avoid personal messages at work
  - Avoid sending 'junk mail'

9. GLOSSARY

Customer Relationship Management	-	A widely implemented strategy for managing a company's interactions with customers, clients, and sales prospects.
Fest	-	A gathering or occasion characterized by a specified activity.
Jargon	-	The specialised or technical language of a trade, profession, or similar group.
Salutation	-	A polite expression of greeting or goodwill.
Letterhead	-	The heading at the top of a sheet of letter paper, usually consisting of a name and an address.
Letter head	-	The heading at the top of a sheet of letter paper, usually consisting of a company's name, logo and the address.
Letter of collection	-	A written notification of the pending amounts sent to customers whose payment is due.
Stakeholders	-	A person, group or organisation that can directly or indirectly affect or be affected by an organisation's actions, objectives and policies.

10. TERMINAL QUESTIONS

1. What is a memo?
2. Write a note on précis writing.
3. Explain the structure of a memo.
4. When you write a memo what language and writing style you will follow, explain.
5. Explain a circular and notice using an example.
6. Explain the principles of letter writing.
7. Write a note on types of letters.
8. Write a letter to your customers, expressing the bad news that the price of a particular product has been increased. Use the appropriate format to present reasons and offer compensation.
9. Reply to a request from a trading company, asking for distributorship and information on your company's range of beauty/cosmetic products.
10. Select a company of your choice. Write a sales letter in the AIDA format to a prospective customer, persuading him/her to buy the company's product.
11. Explain the principles that you need to follow while using emails for business communication.

11. ANSWERS

11.1. Self-Assessment Questions

1. Tangible, verifiable
2. Condensation
3. Main theme
4. Receiver
5. Personal pronouns, active voice
6. True
7. Deductive organisation
8. Circular
9. Show cause notice
10. True
11. External stakeholders
12. Salutation
13. True
14. b) Adjustment letters
15. True
16. Sales letter
17. Direct
18. Buffer
19. AIDA format
20. True
21. False. The indirect organisational plan is used when writing persuasive letters such as sales letters.
22. Informal, spontaneous
23. True
24. Attachments
25. All caps

11.2. Terminal Questions Answers

1. A memo is an abbreviation of a memorandum. It is one of the primary tools for communication within an organisation. For more details, refer to section 2.

2. In many organisations, précis writing is done by assistants to present detailed information in concrete form. Précis writing is guided by the principles of the three C's. For more details, refer to sub-section 2.1.
3. A memo can be divided into different components. They are header, body, close, and courtesy copy. For more details, refer to sub-section 2.2.
4. When you write a memo you have to make sure that you write it in a concise form, use an active voice, use simple language and avoid giving too many reasons. For more details, refer to sub-section 2.3.
5. A circular is an announcement that is distributed to a selective group of people and notice is also an announcement, but it is distributed to everyone concerned. For more details, refer to section 3.
6. The important principles of letter writing are consideration and courtesy; directness and conciseness; clarity and precision; and appearance. For more details, refer to section 4.
7. The various types of letters are routine requests and replies, routine claim and adjustment letters, goodwill letters and other routine letters. For more details refer to section 5.
8. Begin with a 'buffer' statement in the opening paragraph. Give the background and the justification for the decision to increase the price in the second paragraph. For more details, refer to sub-sections 5.2
9. Begin the letter by thanking the distributor for the interest shown. Briefly describe the main principles of your company. Then list the features and benefits of your products. Close the letter on a positive note to build a long-term relationship with the distributor. For more details, refer to sub- sections 5.1, 6.1.
10. First gain attention and convince the reader about the product's benefits, before asking for action or purchase of the product. For more details, refer to sub-sections 5.3, 6.2.
11. While using emails for business communication watch the content, pay attention to the tone, include a specific subject line, place important information first, explain attachments in the body of the email, etc. For more details, refer to section 7.

12. CASE STUDY

A Memo to Employees of News Corporation from Chairman and CEO Rupert Murdoch

Dear Colleagues,

I am proud to announce that News Corporation has reached its first major sustainability milestone: we have become carbon neutral across all of our global operations and we are the first company of our kind to do so.

We made a bold commitment in 2007 to embed the values of energy efficiency and environmental sustainability into all of our businesses – for the benefit of our communities and our bottom line.

But achieving net zero carbon emissions was never our only goal. Less than four years ago, I invited all of our employees, business partners and audiences to join us in this exciting initiative – and your response has been extraordinary. Today, I'm pleased to share some of our successes across the Company, as well as our long-term commitment to environmental sustainability.

Together, despite some of the toughest markets our industry has ever seen, we have saved millions of dollars by improving the energy efficiency of our day-to-day operations. Our efficiency projects pay for themselves in less than two years, on an average and span from simple solutions like lighting retrofits and automatic PC shut-down to systemic changes like installing telepresence and videoconferencing technology to reduce the need for air travel. The Company's global data center consolidation strategy alone will save approximately $20M per year and reduce data center emissions by almost 15% when completed later in 2011.

Our support of clean energy – through on-site projects, renewable energy certificates and carbon credits – spans the globe, from Los Angeles to India. Our UK businesses now procure 100% of their electricity from renewable sources. Dow Jones is close to completing a 4.1MW solar power system on its campus in New Jersey, which will be the largest solar installation of its kind in the United States; at peak, it will provide 50% of the site's electricity needs.

We have provided leadership in our industry, across our supply chain and among the global business community. Fox Entertainment developed robust carbon foot printing standards and tools for film, television, sports and event production, as well as a sustainable vendor guide. The standards we set helped lead to a new industry-wide consortium and the online, open-source Green Production Guide. Our initiative has even prompted major suppliers, like paper manufacturer Norske Skog, to set their own ambitious environmental targets. We have collaborated with business partners who were

already leading the way, including our DVD supply chain initiative with Walmart, which pioneered an eco-case that reduced emissions from raw materials alone by 13% and has become the industry standard. Most recently, we became founding members of the UK-India Business Leaders Climate Group.

Most important, throughout this endeavor, we have continued to do what we do best: engage our audiences around the world with the most compelling content. Twentieth Century Fox's Ice Age franchise and the most successful film of all time, Avatar, prove that passionate environmental messages can be fodder for both blockbusters and real-world action, like the million trees planted in 2010 through the Avatar Home Tree initiative. National Geographic Channel offers scientifically rigorous programs, like Preserve Our Planet and Great Migrations, that are also visually stunning. The Times of London built on its long history of outstanding science coverage to launch Eureka, a monthly magazine supplement dedicated to science, innovation, and the environment. News Limited recently launched the public face of its award-winning employee-facing One Degree initiative. And The Wall Street Journal's fourth annual Economics conference, the leading forum for conversations at the intersection of business and the environment, kicks off tomorrow.

News Corp.'s leadership in this area has been recognized by key independent parties, recently earning top marks in the Carbon Disclosure Project's leadership indices and winning big in the Environmental Media Association's 20th annual awards, with top honors going to Avatar and Bones.

We are well on our way to becoming the innovative, regenerative business we want to be. In the long term, we aim to grow our business without growing our carbon footprint, to power our operations with clean electricity, to minimize solid waste to landfill from our production operations and to continue to engage our audiences on sustainability issues through partnerships and content of the highest caliber.

To help us realize this vision, I ask only that you apply the same creative thinking to sustainability that you already due to your jobs every day.

Congratulations and thank you for putting us on the right path. We have come a long way and we have much to do together.

Sincerely,



Rupert Murdoch

Discussion Questions:

1. What is the memo about?

   (Hint: The CEO is congratulating the company's employees as the company has been recognized as a carbon neutral company)

2. Do you think the memo is written keeping in mind the standard guidelines for writing a memo? Explain.

   (Hint: Refer to sub sections 2.2 and 2.3)

(Source: http://gei.newscorp.com/letter.html)

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